consolidated financial statements

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Consolidated Income Statement

€ million	Note	2025	2024
Net sales	9	**21,102**	**21,156**
Cost of sales	10	-8,756	-8,671
Gross profit		**12,346**	**12,485**
Marketing and selling expenses	11	-4,562	-4,536
Administration expenses		-1,437	-1,370
Research and development costs	12	-2,415	-2,279
Impairment losses and reversals of impairment losses on financial assets (net)	42	15	-8
Other operating income	13	734	269
Other operating expenses	14	-1,081	-915
Operating result (EBIT)[1]		**3,601**	**3,645**
Financial income	40	111	200
Financial expenses	40	-404	-309
Profit before income tax		**3,308**	**3,536**
Income tax	15	-693	-751
Profit after tax		**2,615**	**2,786**
thereof: attributable to shareholders of Merck KGaA, Darmstadt, Germany (net income)		2,608	2,777
thereof: attributable to non-controlling interests	34	7	9
Earnings per share (in €)	17		
Basic		6.00	6.39
Diluted		6.00	6.39

[1] Not defined by IFRS® Accounting Standards.

Consolidated Statement of Comprehensive Income

€ million	Note	2025	2024
Profit after tax		**2,615**	**2,786**
Items of other comprehensive income that will not be reclassified to profit or loss in subsequent periods			
Net defined benefit liability	33		
Changes in remeasurement		486	179
Tax effect		-57	-89
Changes recognized in equity		**429**	**90**
Equity instruments	34		
Fair value adjustments		-48	37
Tax effect		1	-6
Changes recognized in equity		**-47**	**30**
		381	**121**
Items of other comprehensive income that may be reclassified to profit or loss in subsequent periods			
Cash flow hedge reserve	39		
Fair value adjustments		320	92
Reclassification to profit or loss		-243	-149
Reclassification to assets		–	–
Tax effect		-22	5
Changes recognized in equity		**55**	**-52**
Cost of cash flow hedge reserve	39		
Fair value adjustments		-16	–
Reclassification to profit or loss		13	-2
Reclassification to assets		–	–
Tax effect		2	–
Changes recognized in equity		**-2**	**-2**
Currency translation difference			
Changes taken directly to equity		-3,093	1,444
Reclassification to profit or loss		-238	-15
Changes recognized in equity		**-3,331**	**1,429**
		-3,277	**1,375**
Other comprehensive income		**-2,896**	**1,496**
Comprehensive income		**-281**	**4,282**
thereof: attributable to shareholders of Merck KGaA, Darmstadt, Germany		-283	4,272
thereof: attributable to non-controlling interests	34	3	9

Consolidated Balance Sheet

€ million	Note	Dec. 31, 2025	Dec. 31, 2024[1]
Non-current assets			
Goodwill	18	17,934	19,107
Other intangible assets	19	7,662	6,351
Property, plant and equipment	20	9,940	10,025
Investments accounted for using the equity method		3	3
Non-current receivables	25	32	27
Other non-current financial assets	36	992	1,172
Other non-current non-financial assets	22	114	134
Non-current income tax receivables	15	3	9
Deferred tax assets	15	1,618	1,318
		38,298	**38,146**
Current assets			
Inventories	24	4,562	4,484
Trade and other current receivables	25	3,947	3,947
Contract assets	26	103	132
Other current financial assets	36	688	642
Other current non-financial assets	22	716	621
Current income tax receivables	15	356	512
Cash and cash equivalents	35	2,740	2,517
Assets held for sale	6	118	597
		13,230	**13,450**
Total assets		**51,527**	**51,596**
Total equity	34		
Equity capital		565	565
Capital reserves		3,814	3,814
Retained earnings		24,039	22,087
Gains/losses recognized in equity		174	3,448
Equity attributable to shareholders of Merck KGaA, Darmstadt, Germany		**28,592**	**29,914**
Non-controlling interests		68	75
		28,660	**29,989**
Non-current liabilities			
Non-current provisions for employee benefits	33	1,553	1,956
Other non-current provisions	27	259	257
Non-current financial debt	37	10,730	6,997
Other non-current financial liabilities	38	104	144
Other non-current non-financial liabilities	29	9	12
Non-current income tax liabilities	15	36	36
Deferred tax liabilities	15	1,134	909
		13,826	**10,312**
Current liabilities			
Current provisions for employee benefits	33	63	66
Current provisions	27	481	505
Current financial debt	37	1,238	3,304
Other current financial liabilities	38	998	1,031
Trade and other current payables	30	2,110	2,275
Refund liabilities	9	985	869
Current income tax liabilities	15	1,579	1,527
Other current non-financial liabilities	29	1,588	1,562
Liabilities directly related to assets held for sale	6	–	157
		9,042	**11,295**
Total equity and liabilities		**51,527**	**51,596**

[1] Previous-year figures have been adjusted owing to the finalization of the purchase price allocation in connection with the acquisitions of Mirus Bio LLC, USA, Unity-SC SAS, France, as well as Hub Organoids Holding B.V., Netherlands (see Note (6) **Acquisitions and divestments**).

Consolidated Cash Flow Statement

€ million	Note	2025	2024
Profit after tax		**2,615**	**2,786**
Depreciation/amortization/impairment losses/reversals of impairment losses		2,298	2,134
Changes in inventories		-257	36
Changes in trade accounts receivable		-166	79
Changes in trade accounts payable/refund liabilities		73	-178
Changes in provisions		124	62
Changes in other assets and liabilities		-588	-309
Neutralization of gains/losses on disposal of fixed assets and other disposals		-164	-2
Other non-cash income and expenses		-4	-22
Operating Cash Flow	16	**3,932**	**4,586**
Payments for investments in intangible assets		-373	-482
Proceeds from the disposal of intangible assets		171	18
Payments for investments in property, plant and equipment		-1,585	-1,702
Proceeds from the disposal of property, plant and equipment		25	27
Payments for investments in other assets		-1,608	-2,251
Proceeds from the disposal of other assets		1,608	2,107
Payments for acquisitions less acquired cash and cash equivalents (net)		-2,915	-774
Proceeds from divestments		415	7
Investing Cash Flow	23	**-4,261**	**-3,050**
Dividend payments to shareholders of Merck KGaA, Darmstadt, Germany		-284	-284
Dividend payments to non-controlling interests		-10	-9
Profit withdrawal by E. Merck KG, Darmstadt, Germany		-755	-747
Proceeds from new borrowings of financial debt from E. Merck KG, Darmstadt, Germany		809	683
Repayment of financial debt to E. Merck KG, Darmstadt, Germany, and E. Merck Beteiligungen KG, Darmstadt, Germany, a related party of E. Merck KG, Darmstadt, Germany		-247	-453
Proceeds from new borrowings of other current and non-current financial debt		9,052	2,113
Repayment of other current and non-current financial debt		-7,937	-2,290
Financing Cash Flow	41	**628**	**-985**
Changes in cash and cash equivalents		**299**	**551**
Changes in cash and cash equivalents due to currency translation		-77	-16
Cash and cash equivalents as of January 1		2,517	1,982
Cash and cash equivalents as of December 31 (Consolidated Balance Sheet)	35	**2,740**	**2,517**

Consolidated Statement of Changes in Net Equity

For details see Note (34) **Equity**.

€ million	Equity capital	Capital reserves	Retained earnings	Gains/losses recognized in equity	**Equity attributable to share-holders of Merck KGaA, Darmstadt, Germany**	Non-controlling interests	**Total equity**
Jan. 1, 2024	**565**	**3,814**	**20,228**	**2,073**	**26,680**	**75**	**26,754**
Profit after tax	–	–	2,777	–	2,777	9	2,786
Gains/losses recognized in equity	–	–	121	1,375	1,496	–	1,496
Comprehensive income	**–**	**–**	**2,897**	**1,375**	**4,272**	**9**	**4,282**
Dividend payments	–	–	-284	–	-284	-9	-293
Capital increases	–	–	–	–	–	1	1
Profit transfer to/from E. Merck KG, Darmstadt, Germany, including changes in reserves	–	–	-755	–	-755	–	-755
Transactions with no change of control	–	–	–	–	–	–	–
Change in scope of consolidation/Other[1]	–	–	2	–	2	–	2
Dec. 31, 2024[1]	**565**	**3,814**	**22,087**	**3,448**	**29,914**	**75**	**29,989**

[1] Previous-year figures have been adjusted owing to the finalization of the purchase price allocation in connection with the acquisitions of Mirus Bio LLC, USA, Unity-SC SAS, France, as well as Hub Organoids Holding B.V., Netherlands (see Note (6) **Acquisitions and divestments**).

€ million	Equity capital	Capital reserves	Retained earnings	Gains/losses recognized in equity	**Equity attributable to share-holders of Merck KGaA, Darmstadt, Germany**	Non-controlling interests	**Total equity**
Jan. 1, 2025	**565**	**3,814**	**22,087**	**3,448**	**29,914**	**75**	**29,989**
Profit after tax	–	–	2,608	–	2,608	7	2,615
Gains/losses recognized in equity	–	–	382	-3,273	-2,892	-4	-2,896
Comprehensive income	**–**	**–**	**2,990**	**-3,273**	**-283**	**3**	**-281**
Dividend payments	–	–	-284	–	-284	-10	-294
Capital increases	–	–	–	–	–	–	–
Profit transfer to/from E. Merck KG, Darmstadt, Germany, including changes in reserves	–	–	-754	–	-754	–	-754
Transactions with no change of control	–	–	–	–	–	–	–
Change in scope of consolidation/Other	–	–	–	–	–	–	–
Dec. 31, 2025	**565**	**3,814**	**24,039**	**174**	**28,592**	**68**	**28,660**